Dr. **Profit and loss account for the year ended 31st December, 2016** **Cr.**

Particulars	₹	₹	Particulars	₹	₹
To Provision for bad and doubtful debts (closing)	5,000				
Add: Bad debts	5,000				
Add: Additional bad debts	4,000				
	14,000				
Less: Provision for bad and doubtful debts (Opening)	2,000	12,000			

Balance Sheet as on 31st December, 2016

Liabilities	₹	₹	Assets	₹	₹
			Sundry debtors	1,04,000	
			Less: Additional bad debts	4,000	
				1,00,000	
			Less: Provision for bad and doubtful debts (closing)	5,000	95,000

13.3 Summary of adjusting entries and accounting treatment of adjustments

Sl. No.	Adjustment	Journal entry	Treatment in	
			Trading A/c or P & L A/c	Balance Sheet
1	Closing stock	Stock in trade A/c Dr. To Trading A/c	Shown on the credit side of the trading A/c.	Shown on the assets side as a current asset.
2	Outstanding expenses	Concerned expense A/c Dr. To Outstanding expense A/c	Added to the concerned expense on the debit side of trading account if direct expense and profit and loss account if indirect expense.	Shown on the liabilities side as a current liability.
3	Prepaid expenses	Prepaid expense A/c Dr. To Concerned expense A/c	Deducted from the concerned expense on the debit side. of trading account if direct expense and profit and loss account if indirect expense.	Shown on the assets side as a current asset.
4	Accrued income	Accrued income A/c Dr. To Income A/c	Added to the concerned income on the credit side of profit and loss A/c.	Shown on the assets side as a current asset.
5	Income received in advance	Concerned income A/c Dr. To Income received in advance A/c	Deducted from the concerned income on the credit side of profit and loss account.	Shown on the liabilities side as a current liability.

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